

STATEMENT OF WORK

SOW Number: SOW-2024-001 **Reference MSA:** MSA-2024-001
Effective Date: January 15, 2024 **End Date:** January 14, 2025

PARTIES

This Statement of Work ("SOW") is entered into pursuant to the Master Services Agreement dated January 1, 2024 between:

SERVICE PROVIDER: TechServices Global Inc. 123 Innovation Drive, Suite 500 San Francisco, CA 94105 ("Provider")

CLIENT: Acme Corporation 456 Business Park Boulevard New York, NY 10001 ("Client")

1. PROJECT OVERVIEW

1.1 Project Name

Infrastructure Modernization and Cloud Migration Program

1.2 Project Description

Provider shall deliver comprehensive IT infrastructure management services including data center operations, cloud migration, network management, and 24/7 support services for Client's North American operations.

1.3 Business Objectives

- Achieve 99.9% system availability
- Reduce infrastructure costs by 25% within 12 months
- Migrate 80% of workloads to cloud by project end
- Improve incident response times by 40%

2. SCOPE OF SERVICES

2.1 In-Scope Services

2.1.1 Data Center Operations

- Server management (250 physical servers, 1,200 virtual machines)
- Storage management (500 TB total capacity)
- Backup and disaster recovery operations
- Environmental monitoring

2.1.2 Cloud Services

- AWS infrastructure management
- Azure Active Directory administration
- Cloud cost optimization
- Multi-cloud orchestration

2.1.3 Network Services

- WAN management (45 locations)
- LAN management (12,000 endpoints)
- Firewall and security appliance management
- VPN administration

2.1.4 Support Services

- 24/7/365 helpdesk support
- Tier 1, 2, and 3 technical support
- Incident and problem management
- Change management

2.2 Out-of-Scope Services

- Application development
- End-user device procurement
- Physical security services
- Telecommunications carrier contracts

3. PROJECT MILESTONES

Milestone ID	Milestone Name	Target Date	Days from Start	Credit at Risk
MS-1.0	Project Kickoff Complete	January 31, 2024	16	\$0
MS-2.1	Infrastructure Assessment Complete	February 28, 2024	44	\$25,000

Milestone ID	Milestone Name	Target Date	Days from Start	Credit at Risk
MS-2.2	Migration Plan Approved	March 15, 2024	60	\$50,000
MS-3.1	Phase 1 Cloud Migration (25%)	April 30, 2024	106	\$75,000
MS-3.2	Phase 2 Cloud Migration (50%)	June 30, 2024	167	\$100,000
MS-3.3	Phase 3 Cloud Migration (75%)	September 30, 2024	259	\$125,000
MS-4.0	Final Migration Complete (80%)	November 30, 2024	320	\$150,000
MS-5.0	Steady State Operations	December 31, 2024	351	\$100,000
MS-6.0	Project Closeout	January 14, 2025	365	\$50,000

3.1 Milestone Dependencies

- MS-2.2 depends on MS-2.1
- MS-3.1 depends on MS-2.2
- MS-3.2 depends on MS-3.1
- MS-3.3 depends on MS-3.2
- MS-4.0 depends on MS-3.3
- MS-5.0 depends on MS-4.0
- MS-6.0 depends on MS-5.0

3.2 Milestone Acceptance Criteria

MS-2.1 - Infrastructure Assessment Complete: - Complete inventory of all hardware assets - Network topology documentation - Application dependency mapping - Risk assessment report delivered

MS-3.1 - Phase 1 Cloud Migration (25%): - 62 workloads migrated to AWS - All migrated systems achieving SLA targets - Rollback plan tested and documented - Client sign-off obtained

4. SERVICE LEVELS FOR THIS SOW

4.1 Availability SLAs

Service	Target	Minimum	Measurement
Production Systems	99.95%	99.9%	Monthly
Development/Test Systems	99.5%	99.0%	Monthly
Network Core	99.99%	99.95%	Monthly
Cloud Infrastructure	99.9%	99.5%	Monthly

4.2 Performance SLAs

Metric	Target	Breach Threshold
Helpdesk Answer Time	< 30 seconds	> 60 seconds
P1 Incident Response	< 15 minutes	> 30 minutes
P2 Incident Response	< 30 minutes	> 60 minutes
Change Implementation Success	> 98%	< 95%
Backup Success Rate	> 99.5%	< 98%
Patch Compliance	> 95%	< 90%

4.3 Monthly Reporting SLAs

Provider shall deliver the following reports:

Report	Due Date	Recipient
Monthly Performance Dashboard	5th business day	IT Director
SLA Compliance Report	5th business day	CIO
Security Incident Summary	3rd business day	CISO
Cost Analysis Report	10th business day	CFO
Capacity Planning Report	15th business day	IT Director

5. PRICING AND FEES

5.1 Fixed Monthly Fees

Service Category	Monthly Fee
Data Center Operations	\$45,000
Cloud Management	\$35,000
Network Services	\$25,000
Support Services	\$20,000
Total Monthly Fee	\$125,000

5.2 Project Fees (One-Time)

Deliverable	Fee	Due Date
Infrastructure Assessment	\$75,000	Upon MS-2.1 completion
Migration Planning	\$50,000	Upon MS-2.2 completion
Cloud Migration Services	\$250,000	Pro-rata with milestones
Knowledge Transfer	\$25,000	Upon MS-6.0 completion
Total Project Fees	\$400,000	

5.3 Rate Card for Additional Services

Role	Hourly Rate	Daily Rate
Project Manager	\$175	\$1,400
Solutions Architect	\$225	\$1,800
Senior Engineer	\$185	\$1,480
Engineer	\$145	\$1,160
Analyst	\$115	\$920

5.4 Total SOW Value

Component	Value
Monthly Fees (12 months)	\$1,500,000

Component	Value
Project Fees	\$400,000
Contingency (10%)	\$190,000
Total SOW Value	\$2,090,000

6. PROVIDER OBLIGATIONS

6.1 Staffing Requirements

Provider shall maintain the following dedicated staff:

Role	Count	Location	Start Date
Program Manager	1	On-site (NYC)	January 15, 2024
Technical Lead	1	On-site (NYC)	January 15, 2024
Cloud Architect	2	Remote	January 22, 2024
Senior Engineers	4	Remote	February 1, 2024
Network Engineers	2	On-site (NYC)	February 1, 2024
Support Analysts	6	Remote (24/7)	January 15, 2024

6.2 Deliverable Obligations

Deliverable	Due Date	Format
Project Charter	January 25, 2024	PDF
Infrastructure Assessment Report	February 28, 2024	PDF + Excel
Migration Runbook	March 15, 2024	PDF
Weekly Status Reports	Every Friday	Email + Dashboard
Monthly Executive Summary	5th of each month	PowerPoint
Final Project Report	January 14, 2025	PDF

6.3 Compliance Obligations

Provider shall maintain compliance with: - SOC 2 Type II certification
- ISO 27001 certification - PCI DSS Level 1 (for payment systems) - HIPAA (for healthcare data) - Client's Information Security Policy

7. CLIENT OBLIGATIONS

7.1 Resource Commitments

Resource	Availability	Start Date
Project Sponsor (VP IT)	4 hours/week	January 15, 2024
Technical SMEs	20 hours/week	January 22, 2024
Change Approval Board	As needed	February 1, 2024
Security Team Liaison	8 hours/week	January 15, 2024

7.2 Access and Facilities

- Provide VPN access within **5 business days** of request
- Provide physical access badges within **10 business days**
- Allocate dedicated workspace for on-site staff
- Provide parking passes for on-site personnel

7.3 Decision Timelines

Decision Type	Response Time
Change Approval (Standard)	5 business days
Change Approval (Emergency)	4 hours
Resource Approval	3 business days
Budget Approval	10 business days
Milestone Sign-off	5 business days

8. RISK MANAGEMENT

8.1 Identified Risks

Risk ID	Description	Probability	Impact	Mitigation
R-001	Legacy system compatibility issues	High	High	Early assessment, phased migration
R-002	Resource availability constraints	Medium	High	Cross-training, backup resources
R-003	Data migration complexity	High	Medium	Automated tools, validation scripts
R-004	Network bandwidth limitations	Medium	Medium	Bandwidth upgrade, off-hours migration
R-005	Change resistance from users	Low	Medium	Communication plan, training

8.2 Risk Escalation

- **High Risks:** Escalate to Program Steering Committee within 24 hours
- **Medium Risks:** Escalate to Project Manager within 48 hours
- **Low Risks:** Document in risk register, review weekly

9. GOVERNANCE

9.1 Meeting Cadence

Meeting	Frequency	Participants	Duration
Daily Standup	Daily	Project team	15 min
Weekly Status	Weekly	PM + Client PM	1 hour
Steering Committee	Monthly	Executives	2 hours
Quarterly Business Review	Quarterly	Leadership	4 hours

9.2 Escalation Path

Level	Provider Contact	Client Contact	Response Time
1	Project Manager	IT Director	4 hours
2	Delivery Director	VP of IT	8 hours
3	VP Client Services	CIO	24 hours
4	CEO	CEO	48 hours

10. CHANGE CONTROL

10.1 Change Request Process

1. Submit Change Request Form (CRF)
2. Impact assessment within **3 business days**
3. Cost estimate within **5 business days**
4. Client approval required before implementation
5. Post-implementation review within **5 business days**

10.2 Change Categories

Category	Approval Required	Implementation Window
Standard	Pre-approved	Business hours
Normal	CAB approval	Maintenance window
Emergency	VP approval	Immediate

11. ACCEPTANCE CRITERIA

11.1 Milestone Acceptance

Each milestone shall be deemed accepted upon: - Completion of all deliverables listed - Achievement of applicable success criteria - Client sign-off within **5 business days** - Resolution of all Critical and High severity defects

11.2 Final Acceptance

Final acceptance requires: - All milestones accepted - 30 consecutive days of SLA compliance - Knowledge transfer completed - All documentation delivered - Final invoice paid

12. TERMINATION

12.1 SOW Termination

This SOW may be terminated: - By mutual written agreement - By either Party upon 30 days notice for material breach - By Client for convenience upon 60 days notice (subject to termination fees)

12.2 Termination Fees

Termination Timing	Fee
Before MS-2.2	Work completed + 10% remaining project fees
After MS-2.2, Before MS-4.0	Work completed + 20% remaining fees
After MS-4.0	Work completed only

KEY DATES SUMMARY

Date	Event	Action Required
January 15, 2024	SOW Effective	Project kickoff
January 31, 2024	MS-1.0 Due	Kickoff completion
February 28, 2024	MS-2.1 Due	Assessment delivery
March 15, 2024	MS-2.2 Due	Plan approval
April 30, 2024	MS-3.1 Due	25% migration
June 30, 2024	MS-3.2 Due	50% migration
September 30, 2024	MS-3.3 Due	75% migration
November 30, 2024	MS-4.0 Due	80% migration
December 31, 2024	MS-5.0 Due	Steady state
January 14, 2025	MS-6.0 Due	Project closeout
January 14, 2025	SOW Expiration	Final acceptance

SIGNATURES

TechServices Global Inc.

Signature: _____ Name: Michael Johnson Title: VP of Delivery
Date: January 10, 2024

Acme Corporation

Signature: _____ Name: Robert Chen Title: VP of Information
Technology Date: January 12, 2024

ATTACHMENTS

- Attachment A: Detailed Technical Requirements
 - Attachment B: Migration Runbook Template
 - Attachment C: RACI Matrix
 - Attachment D: Communication Plan
 - Attachment E: Risk Register
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End of Statement of Work